

# Bank Loan Eligibility Policy

## Purpose

This document defines the eligibility criteria for personal and mortgage loans at the bank. It is intended to guide loan officers and applicants through the minimum requirements and evaluation factors used during the application review process.

## General Requirements

Applicants must satisfy the following general requirements to be considered for a loan:

- Be at least 18 years of age at the time of application.
- Hold a valid government-issued identification document.
- Provide proof of a stable and verifiable source of income.
- Have a satisfactory credit history with no defaults in the last 12 months.
- Demonstrate a reasonable income-to-debt ratio.

## Employment and Income

Salaried applicants must have been employed with their current employer for at least six months and provide recent pay stubs and an employment verification letter. The maximum loan amount for salaried applicants is up to four times their annual gross income.

Self-employed applicants must provide at least two years of tax returns and financial statements. The maximum loan amount for self-employed applicants is up to two and one-half times their annual net income.

## Credit Score

A minimum credit score of 650 is required for all loan products. Applicants with credit scores between 650 and 699 may be subject to additional documentation and higher interest rates. Applicants with credit scores of 700 or above are eligible for preferred rates.

## Loan Amount and Tenure

Loan amounts are determined by the applicant's income, credit score, and the value of any collateral offered. The standard repayment tenure ranges from 12 months to 240 months, depending on the loan type and amount.

## Prohibited Uses

Loan proceeds may not be used for speculative investments, illegal activities, or the purchase of prohibited goods. The bank may request proof of the purpose of the loan before disbursement.

## Final Approval

Meeting the minimum eligibility criteria does not guarantee loan approval. The bank reserves the right to reject any application, request additional documentation, or offer alternative terms at its sole discretion.